ABC News · Reuters (via The Star) · Newsquawk
Digest of 25 October 2026

This week's inflation figures will set up the RBA's Melbourne Cup Day decision

> The ABS releases the September quarter CPI on Wednesday 28 October. Economists expect underlying inflation to come in above the RBA's forecast, which would add to the case for a November rate rise.

WHAT HAPPENED

- Economists expect **trimmed mean inflation of about 1.0%** for the quarter, above the RBA's August forecast of 0.8%.
- Headline inflation was **4.0%** over the year to August (monthly CPI), well above the 2–3% target.
- RBA deputy governor Andrew Hauser says headline inflation could reach about 4% in Q3, with core inflation near 3.5%.
- Oil above US$110 a barrel is the main source of **cost-push** pressure. Markets give roughly even odds of a rate rise to 4.85% on 3 November.

BY THE NUMBERS

~1.0%
expected trimmed mean inflation for Q3 (quarterly)

0.8%
the RBA's August forecast for Q3

4.0%
annual CPI inflation, August

2–3%
the RBA's inflation target band

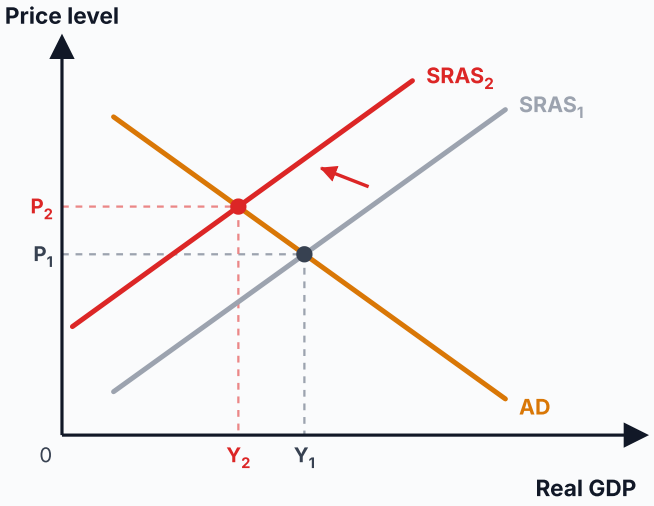
KEY TERMS

Headline CPI: the change in the price of the whole CPI basket.

Trimmed mean: an underlying measure that drops the largest price rises and falls.

Cost-push inflation: inflation caused by rising production costs, such as fuel.

DIAGRAM — Cost-push inflation from higher fuel prices



Higher oil prices raise costs for transport, farming and manufacturing, so short-run aggregate supply shifts from **$SRAS_1$ to $SRAS_2$**.

The price level rises from **P_1 to P_2** while real output falls from **Y_1 to Y_2**.

Exam angle: the RBA looks through one-off price spikes. It acts when cost pressures **spread into underlying inflation and expectations**, which is why the trimmed mean matters most on Wednesday.

FLOW CHART — Why Wednesday's number matters

Wednesday: ABS releases CPI → Trimmed mean about 1.0% or higher? → Case for a rate rise strengthens → **RBA decides on Tuesday 3 November**

SYLLABUS LINK

TOPIC 3: inflation. How it is measured (CPI, trimmed mean), its causes (cost-push and demand-pull) and its effects.

TRY THIS

Distinguish between headline and underlying inflation, and explain why the RBA focuses on underlying measures. **(4 MARKS)**

Articles: ABC News, 'RBA deputy warns inflation outlook materially worse', 21 Oct 2026 — https://www.abc.net.au/news/2026-10-21/reserve-bank-hauser-warns-inflation-outlook-materially-worse/107288574 · Reuters via The Star, 'Inflation outlook worsens for Australia', 22 Oct 2026 — https://www.thestar.com.my/business/business-news/2026/10/22/inflation-outlook-worsens-for-australia · Newsquawk, 'Week in Focus 26–30 October 2026' — https://newsquawk.com/headlines/week-in-focus-26-30th-october-2026-fomc-boc-rbnz-ecb-boj-policy-decisions-us-pce · ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840

Figures as reported at time of writing. Diagrams are illustrative, not to scale.